

The rise of SWFs over the past fifteen years reflects two broader, related geopolitical trends:

1. The redistribution of wealth from the Western world (especially the United States and Europe) toward emerging countries, especially those in the East.

It is not that the West has become poorer—it is that developing markets have rapidly become much richer. Partly this is due to surging commodity prices: oil prices skyrocketed from around \$20 per barrel in the late 1990s to a high of \$147 in July 2008. Countries like Timor-Leste wished to save some of these commodity revenues in SWFs. The United States has also been running trade deficits, and emerging markets have been putting some of their corresponding trade surpluses into SWFs.

2. An increasing role of governments in managing sovereign wealth.

The financial crisis highlighted this for developed countries, but other governments—particularly in Asia—have played much more active roles in managing their economy and setting industrial policy than has the United States. Relevant policies include managing exchange rates, nurturing export-oriented industries, and setting import tariffs. Several governments, including Australia, Singapore, and Korea, have deliberately run budget surpluses and channeled these into SWFs.

2.2. OPTIMAL SOVEREIGN WEALTH

Perhaps the number one reason sovereign wealth has been rapidly increasing is simply that *the United States told emerging market countries to save more*.

The 1980s was *La Decada Perdida* for Latin America. The largest economies all went bankrupt: Brazil, Argentina, Mexico, and Venezuela. During 1997 and 1998, Thailand, Indonesia, Malaysia, the Philippines, and Korea were hit by plunging stock markets and currency collapses. In 1998, Russia defaulted on its debt.

In an influential 1999 article in *Foreign Affairs*, Martin Feldstein, former Chairman of the White House Council of Economic Advisors and a noted economist at Harvard University, wrote that “emerging market countries must protect themselves through increased liquidity” against episodes like the 1980s Latin American debt crisis and the 1997–1998 Asian crisis:

Liquidity is the key to financial self-help. A country that has substantial international liquidity—large foreign currency reserves and a ready source of foreign currency loans—is less likely to be the object of a currency attack. Substantial liquidity also enables a country already under a speculative siege to defend itself better and make more orderly financial adjustments.